

INDIA HAS BEEN viewed as an exception and a bright spot in this global downturn. The latest projections by the IMF show that India will remain the fastest-growing major economy in 2022 and 2023. I believe India may be able to escape this global economic downturn.

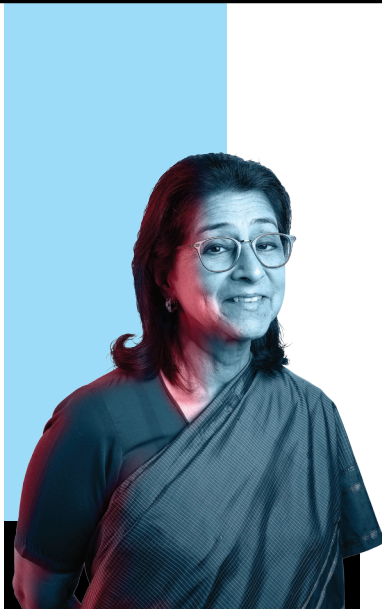
Services and digital growth: India's growth model can withstand a global downturn, as we are more dependent on domestic consumption. Moreover our economic growth is largely driven by the services sector and services tend to shrink less compared to manufacturing during global economic downturns, although given the export-oriented nature of IT Services, this will face some headwinds. Further, India has already taken a huge digital leap, and it is expanding digital opportunities in education, energy, health, financial services and logistics, which has the potential to deliver economic value greater than \$500 billion by 2025 as per a Ficci-McKinsey report. It is unlikely that a global downturn will slow down the pace of the digital leap for India.

Global exports of digitally delivered services have more than tripled during the last two decades, far greater than the trade in goods, and India stands out as a winner. Global trade in services is expected to remain strong in

ANNIVERSARY COLUMN

Moving Towards Global Leadership

India's growth model can withstand a global downturn as its economic growth is largely driven by domestic consumption



BY NAINA LAL KIDWAI

the future, and India will continue to benefit from the explosive growth in this trade, with its share valued at \$0.8 trillion to \$1.2 trillion.

This digital economy will fuel massive digital consumption. India has over 650 million internet users and the world's lowest data prices. It is one of the largest and fastest-growing markets for digital consumers and is

likely to add over 200 million online shoppers and develop a \$5-billion online gaming and entertainment market in the next four to five years. The digital economy will aid in fulfilling local demand more efficiently and enable the multiplier effect of domestic consumption.

Availing the demographic dividend: India has one of the youngest populations in an ageing world. The median age in India is below 30, compared to 40 in China and the US, 45 in Western Europe, and 50 in Japan. Demographics can change the pace and pattern of economic growth. India's demographic profile is well positioned to withstand adverse macroeconomic shocks, aided by the ability to borrow from residents, and build public-private-partnerships to finance additional spending for physical and human infrastructure.

Ensuring the rise of the middle class: India's favourable demographic trends have set the stage for a massive expansion of the middle class, leading to a huge domestic market. India is expected to emerge with a middle class that is proportionately as large as that of the US